TRANSACTION PRESSURE CARD

The Baldwin Insurance Group, Inc. (and public stockholders) / Square Acquisition Parent, Inc. AUDIT ID: AUDIT-THEB-SQUA-20261018-REV1

01. MATERIAL PRESSURE & CLOSING IMPEDIMENTS

Baldwin Insurance Group faces pre-closing friction arising from its Up-C dual-class structure, insider rollover equity, and lack of a majority-of-the-minority voting condition. The transaction relies solely on a single-class vote of Class A and Class B shares. Insiders commit ~30% of total voting power (~15.0% beneficial ownership) and secure a ~7.3% rollover into Topco common equity alongside institutional sponsors (DFO and Sequence), while unaffiliated Class A stockholders are cashed out at $32.50 per share. Concurrently, TRA Amendment No. 1 directs up to $298,450,598 in accelerated cash termination payments exclusively to TRA unitholders, excluding public stockholders. Without a non-waivable majority-of-the-minority voting condition, the buyout fails the MFW dual-cleansing standard under Delaware law, exposing the transaction to entire fairness scrutiny and potential fiduciary breach litigation.

02. PRESSURE PROPAGATION CASCADE (VECTOR PATHWAY)

TRIGGER
Filing and dissemination of the definitive Schedule 13E-3 and proxy statement without a majority-of-the-minority voting condition, coupled with

AMPLIFIER
Accumulation of Class A voting common stock by institutional risk arbitrageurs (e.g., Glazer Capital's 5.35% stake) and potential

MECHANISM
Schedule 13E-3 disclosure exposes disparity between Class A all-cash consideration and insider equity rollover/TRA cash

EXPOSURE
Activist shareholders and arbitrageurs challenge procedural fairness, noting the failure to establish an MFW-compliant

CONSEQUENCE
The transaction proceeds without dual-track procedural protections under Kahn v. M&F Worldwide Corp. (MFW). Under Delaware

03. QUANTIFIED TRANSACTION & BALANCE SHEET EXPOSURES

EXPOSURE CATEGORY	SPECIFIC CONDITION / BALANCE	LEVERAGE & SOURCE
Entire Fairness Standard of Review Exposure	Buyer unwillingness to indemnify rollover insiders or absorb legal discovery defense costs exceeding $15M.	`Leverage: 8/10 - Owner: Legal`
Disproportionate Economic Value Realization via TRA	Special Committee refusal to approve without an independent fairness evaluation of the $298.5M TRA discount relative to historical liabilities.	`Leverage: 7/10 - Owner: Financial`

04. CONTRACTUAL PRESSURE & COVENANT CLIFFS

- Operative Outside Termination Date: Contractual drop-dead date not definitively extracted; requires inspection of Merger Agreement Article VIII.
- Regulatory Efforts Standard & Burdensome Condition: Standard of efforts (Reasonable Best Efforts vs Hell or High Water) and divestiture caps require primary agreement review.
- Stockholder Approval Threshold: Statutory voting threshold governed by target charter and governing state corporate law (e.g. DGCL 251).

05. UNRESOLVED TRANSACTION STATE // INFORMATION GAP REGISTER

Definitive merger agreement executed covenants and outside drop-dead date provisions.

PRIMARY RISK: OMISSION OF A NON-WAIVABLE MAJORITY-OF-THE-MINOR CONFIDENCE: MEDIUM | EVIDENCE: DYNAMIC SEC EDGAR INGESTION